IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CA/CAA/32 & 44-45 (CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Arrangement (Demerger)*
Between

M/s. Sri Shanmugavel Mills Private Limited
CIN: U17111TZ1980PTC000935
Reg Off:
207,Mangalam Road,
Karuvampalayam,
Tirupur-641604 ...*Transferor Company -1*

M/s. Sri Velayudhaswamy Spinning Mills Private Limited
CIN: U17111TZ1988PTC002240
Reg Off:
207,Mangalam Road,
Karuvampalayam,
Tirupur-641604 ... *Transferor Company -2*

And

M/s. Sivaraj Spinning Mills Private Limited
CIN: U17111TZ1982PTC001195
Reg Off:
207,Mangalam Road,
Karuvampalayam,
Tirupur-641604 ...*Transferee Company*

Order Pronounced on 24th December 2021

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Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Applicants: M.R. Thiagarajan, PCS

COMMON ORDER

Per: **ANIL KUMAR B, MEMBER (TECHNICAL)**

This is an application filed by the Applicant Companies, namely M/s. Sri Shanmugavel Spinning Mills Private Limited (for brevity "Transferor Company-1") and M/S. Sri Velayudhaswamy Spinning Mills Private Limited (for brevity "Transferor Company-2") M/s. Sivaraj Spinning Mills Private Limited (for brevity "Transferee Company") with its Shareholders and creditors under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by M/s. Sri Shanmugavel Spinning Mills Private Limited (for brevity "Transferor Company-1") and M/S. Sri Velayudhaswamy Spinning Mills Private Limited (for brevity "Transferor Company-2") M/s. Sivaraj Spinning Mills Private Limited (for brevity "Transferee Company") with its Shareholders and creditors. The said Scheme is also annexed as Annexure "G" to the CA/CAA/32(CHE)/2021.

2. The Applicant Companies in this Company Application have sought for the following reliefs:

(a) *Dispensing the meeting of the Equity shareholders of the Transferor and Transferee Companies;*

(b) *Dispensing the meeting of the Unsecured Creditors of the Transferor and Transferee Companies;*

(c) *Dispensing the meeting of Secured Creditors of Transferor and Transferee Companies;*

3. An affidavit in support of the above application is sworn for and behalf of the Applicant Companies has been filed by Mr. P.S. Veluswamy in the capacity of Managing Director for the Transferor Company-1 and Mr. C. Kandaswamy in the capacity of Director for the Transferor Company-2 and Mr. C. Kandaswamy in the capacity of Managing Director for the Transferee Company along with the application and it is also represented that the Registered offices of the Applicant Companies are situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Coimbatore.

4. **SRI SHANMUGAVEL MILLS PRIVATE LIMITED**
(Transferor Company-1) CA/CAA/44(CHE)/2021

(i) There are 13 (Thirteen) Equity Shareholders and the list of shareholders to this effect is placed at page 283 and consent affidavits given by all is placed as page no. 284 to 309 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is 1 Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page 310 of the typed set filed along with the Application and consent affidavits given by the Secured Creditor is placed as Annexure of the typed set filed with the application and sought for dispensation with holding of meeting.

(iii) There are 215 (Two Hundred And Fifteen) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 310 to 316 of the typed set filed along with the Application and consent affidavits given by Unsecured Creditors holding 91.13% in value is placed at page no.317 to 334 of the typed set filed with the application and sought dispensation with holding of meeting.

5. **SRI VELAYUDHASWAMY SPINNING MILLS PVT. LTD.**
(Transferor Company-2) CA/CAA/32(CHE)/2021

(i) There are 13 (Thirteen) Equity Shareholders and the list of shareholders to this effect is placed at page 280 and consent affidavits given by all is placed as page no. 281 to 306 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is 2 (Two) Secured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 307 of the typed set filed along with the Application and consent affidavits given by the Secured Creditor is placed as Annexure of the typed set filed with the application and sought for dispensation with holding of meeting.

(iii) There are 108 (One Hundred And Eight) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 307 to 310 of the typed set filed along with the Application and consent affidavits given by Unsecured Creditors holding 91.29% in value is placed at page no.311 to 346 of the typed set filed with the application and sought dispensation with holding of meeting.

6. **SIVARAJ SPINNING MILLS PRIVATE LIMITED**
(Transferee Company) CA/CAA/45(CHE)/2021

(i) There are 15 (Fifteen) Equity Shareholders and the list of shareholders to this effect is placed at page 385 and consent affidavits given by all is placed as page no.386 to 415 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is 2 (Two) Secured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 307 of the typed set filed along with the Application and consent affidavits given by the Secured Creditor is placed as Annexure of the typed set filed with the application and sought for dispensation with holding of meeting.

(iii) There are 219 (Two Hundred And Nineteen) Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page 416 to 422 of the typed set filed along with the Application and consent affidavits given by Unsecured Creditors holding 91.48 in value is placed at page no.423 to 437 of the typed set filed with the application and sought dispensation with holding of meeting.

7. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

8. From the certificate of incorporation filed, it is evident that Transferor Company-1 is a Private limited company incorporated under the provisions of Companies Act, 1956 on 24.04.1980. The Authorized Share Capital of the Company is ₹50,00,000/- (Rupees

Fifty Lakh Only) consisting of 50,000 (Fifty Thousand Only) Equity Shares of Rs.100/- each. The Issued, Subscribed and Paid up Capital of the Company is ₹50,00,000/- (Rupees Fifty Lakh Only) consisting of 50,000 (Fifty Thousand Only) Equity Shares of Rs.100/- each.

9. From the certificate of incorporation filed, it is evident that the Transferor Company-2 is a Private limited company incorporated under the provisions of Companies Act, 1956 on 22.08.1988. The Authorized Share Capital of the Transferor Company-2 is ₹ 1,50,00,000/- (Rupees One Crore Fifty Lakh Only) consisting of 150000 (One Lakh Fifty Thousand Only) Equity Shares of Rs.100/- each. The Issued, Subscribed and paid-Up Capital of the Company is ₹ 95,00,000/- (Rupees Ninety Five Lakh Only) consisting of 95000 (Ninety Five Thousand) Equity Shares of Rs.100/- each .

10. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 01.07.1982. The Authorized Share Capital of the Company is ₹50,00,000/- (Rupees Fifty Lakh Only) consisting of 50,000 (Fifty Thousand Only) Equity Shares of Rs.100/- each. The Issued, Subscribed and Paid up

Capital of the Company is ₹50,00,000/- (Rupees Fifty Lakh Only) consisting of 50,000 (Fifty Thousand Only) Equity Shares of Rs.100/- each

11. The Applicant Companies have filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts for the year ended 31.03.2020 and Unaudited Financial Statements as on 30.11.2020.

12. The Board of Directors of the Applicant Companies vide meeting held on 15th February 2021 has unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

13. The Appointed date as specified in the Scheme Shall be 01.04.2020.

14. The Statutory Auditors Applicant Companies have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Treatment is in conformity with the prescribed Accounting Standards read with Section 133 of the Companies

Act, 2013. The Certificate of the Statutory Auditors issued in this regard is placed at Annexures of the typed set filed along with the Application.

15. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions;

- **In Relation to the M/s. Sri Shanmugavel Mills Private Limited** (Transferor Company -1)

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-1 that there are 13 (Thirteen) Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of holding the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-1 that there is 1 (One) Secured Creditor in the Company whose consents by way of Affidavits have been

obtained and are placed on record, the necessity of holding the meeting is *dispensed* with.

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-1 that there are 215 (Two Hundred And Fifteen) Unsecured Creditors in the Company on which 91.13% in value of the creditors have given their consents and whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is *dispensed with.*

- **In Relation M/S. Sri Velayudhaswamy Spinning Mills Private Limited** (Transferor Company -2)

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company-2 that there are 13 (Thirteen) Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of holding the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company-2 that there are 2 (Two) Secured Creditors in the Company whose consents by way of Affidavits have been obtained and placed on record, the necessity of holding the meeting is *dispensed with.*

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferor Company-2 that there are 108 (One Hundred And Eight) Unsecured Creditors in the company on which consent from 91.29% in value of Unsecured Creditors have given their consents and whose consents by way of Affidavits have been obtained and are placed on record, the necessity of holding the meeting is *dispensed with.*

- **In relation to M/s. Sivaraj Spinning Mills Private Limited** (Transferee Company)

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferee Company that there are 15 (Fifteen) Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of holding the meeting is *dispensed with.*

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferee Company that there is (One) Secured Creditor in the Company whose consents by way of Affidavits have been obtained and placed on record, the necessity of holding the meeting is *dispensed with.*

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the Transferee Company that there are 219 (Two Hundred And Nineteen) Unsecured Creditors in the company on which consent from 91.48% in value of Unsecured Creditors have given their consents and whose consents by way of Affidavits have been obtained and are placed on record, the necessity of holding the meeting is *dispensed with.*

16. Accordingly, the Application stands **Allowed** and the Applicant Company is directed to file the second motion application within a period of 14 days from the date of receipt of this order.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)